Chess Accountants

16 Feb. 26

To,

Nirav Shah

Dear Nirav Shah,

Thank you for your instructions to attend to the Accounts and taxation requirements of your business. This letter is to confirm our understanding of the terms of our Engagement and the nature and the limitation of the service that we provide. It is a requirement of our governing body, CPA Australia, that we issue you, on a regular basis, with an engagement letter setting out the services we offer, our understanding of the terms of our engagement and the scope of the work that will be performed by us within that engagement. This engagement will be conducted in accordance with the relevant standards and ethical requirements of CPA Australia.

Business Entities of the Engagement
:

- Company and Individual

PURPOSE & SCOPE OF ENGAGEMENT

From our discussions I understand that we will be responsible for providing the following services:

a. Preparation of annual financial statements for the above business entities
b. Preparation of income tax returns for the business and its associates as required
c. Conduct ongoing bookkeeping and preparation of relevant Activity Statements
d. Payroll Tax compliance and submission of relevant reports to authorities
e. Process Payroll for employees (Up to 12 employees) and directors including ATO's reporting compliance
f. Review and advice on Superannuation requirements
g. Provision of advice on tax planning and other issues arising from the above results
h. Provision of other specialist accounting and business advisory services as requested
i. Act as your ASIC agent and prepare Company minutes as required
j. Process ASIC Annual Review and annual solvency resolution
k. Act as tax agent with Australian Tax Office for matters relating to your taxation affairs

This letter relates only to the abovementioned services and details the basis and terms of this engagement. Work that is performed or disbursements that are incurred which are outside the scope of our engagement will be subject of additional fees and charges.

Business Advisors and Tax Consultants
217/14 Lexington Drive,
Bella Vista 2153 NSW
Mob: 0425 404 395
Email: admin@chessaccountants.com

Principal: Sulay Shah *CPA, CA,CS, B Com*

RESPONSIBILITIES

Our understanding is that you will provide us with all the information and documents, as requested, necessary to complete the above tasks.

Financial Statements, Tax Returns and Activity Statements will be prepared using the information supplied by yourself and as requested by us on the understanding that it is correct. We will process the financial information as presented by you to us **without any review of the primary source documents** being undertaken by us, on the specific understanding that the information provided is correct and that you have the necessary supporting documentation to satisfy the requirements of the Australian Taxation Office.

We advise that:

a. responsibility for the accuracy and completeness of the particulars and information provided by the Directors
b. any advice given to you is only an opinion based on our knowledge of your particular circumstances: and
c. you have obligations under the self-assessment system to keep full and proper records in order to facilitate the preparation of accurate returns and other reports.

Where, during our work, we notice details in your files, documents and transactions that may appear incorrect or questionable we will bring these to your attention and request your confirmation. However, we will not be investigating all details and will assume that those that appear correct are in fact correct.

BASIS OF OUR ENGAGEMENT

a. Financial accounts

This firm has been engaged to prepare the annual financial accounts of the business entity. This service includes the preparation of:

- A profit and loss statement;
- A balance sheet; and
- Notes for the above accounts.

The accounts we prepare for you will be Special Purpose Financial Reports. Our report will be prepared for distribution to the members of the companies and the partners only. We disclaim any assumption of responsibility for any reliance on our report to any person other than the members and the partners, and for any purpose other than for which it was prepared. Our report will contain an Accountant's Compilation Report disclaimer to this effect. An example of this report is attached.

b. No statutory audits are conducted

You, your employees and or contractors are responsible for the maintenance of the accounting systems and internal controls for the business. That includes the keeping and maintenance of all required books of accounts. Our firm is not being engaged to conduct a statutory audit of the financial records of the business. We will prepare accounts and returns from the information provided to us on the assumption that it is correct. We will not express an auditor's opinion as to the truth and fairness of the financial statements. Our engagement cannot be relied upon to disclose irregularities including fraud, other illegal acts and errors that may exist. However, we will inform you of any such matters that may come to our attention.

c. Income tax returns

This firm has been engaged to organise the preparation and lodgment of income tax returns for the business entities in your group and for the associated individuals. This firm will not be responsible for reviewing or verifying any financial records or statements provided to it either via manual cashbooks or prepared on accounting software such as Xero or MYOB. Correct coding or classification of accounts is outside the scope of this engagement. If assistance is required in how to correctly code or to review how you currently do so please discuss this with us.

In relation to your income tax return(s) we advise that the Australian Taxation Office has stringent requirements in the substantiation provisions of their legislation. We therefore advise that it is necessary to maintain acceptable bona fide receipts, invoices and other documents such as travel diaries and logbooks, as required. Please ensure that you have all source documentation available to allow this firm to analyse the income tax implications of any transactions, if we request to see those. Whilst we will not as a matter of course be looking at these documents, the ATO will expect you (and you are required) to have them available before any claim is made in your income tax return. We may in some circumstances also request to see source documents if a tax issue is particularly contentious.

It is also expected that, in respect of individual income tax returns, each person will have the necessary documents so as to comply with the substantiation provisions of the current Income Tax Assessment Act.

We will specifically advise as to the requirements of the substantiation provisions relating to your income tax return and of the necessity to obtain acceptable receipts as specifically required by the legislation. We will not, however, be checking that the requirements of the substantiation provisions have been satisfied.

This specifically means that we will not be reviewing your logbook or any calculations or information you provide us, for example a rental property schedule either prepared by you on spreadsheet or by a property manager. If you require assistance in completing a logbook or preparing any calculations or you would like us to review such work, please discuss this with us.

The fee for this service does not cover any inquiries made to us or investigations involving us conducted by the Australian Taxation Office.

d. Business Activity Statements

We have been engaged to prepare all the relevant Business Activity Statements (BASs) from the information supplied to us.

For the quarterly BAS, we will rely on and process the financial information provided to us without any review of the primary source documents. In doing that, we will make the following specific assumptions:

- The financial information provided to us is accurate.
- The financial information provided correctly states the GST position. For example, all input tax credits and GST payable amounts have been correctly recorded in the documentation provided.
- You have the necessary supporting documentation to satisfy the Australian Taxation Office for GST purposes. Again, if you are unsure of the ATO requirements or require advice regarding these documents, we are able to provide advice on this.
- You hold valid tax invoices and adjustment notes for all expenditure incurred by you in respect of which an input tax credit is being claimed.

We will make amendments, in future BASs (if required) for any discrepancies that we find between the information disclosed in the quarterly BASs and the annual financial statements

e. ASIC Registered Agent

You have appointed us to act as your Registered Agent with ASIC. This allows us to lodge documents with ASIC on your behalf. As your agent we will receive the company's Annual Statement from ASIC. We will forward this to you when received and request that you review its contents for correctness. You must advise us of any changes to the statement within 7 days of the statement. You must also advise us of any changes in the company's Directors, shareholders, officers and addresses within 7 days to allow us to lodge the appropriate forms with ASIC.

As your agent we will also be maintaining your corporate register. It is the responsibility of the Director(s) and Secretary to ensure that documents forwarded to you for signature are signed and returned to us for filing in your corporate register. We cannot be held responsible for any missing documents not returned to us for filing.

DOCUMENTS AND OWNERSHIP DOCUMENTS

Before we lodge any returns on your behalf, we will forward the documents to you for approval. We will endeavour to ensure that the returns are lodged by the due dates. If you are late in providing any information we will not be responsible for any lodgement penalties you may incur.

Upon completion of the accounts, tax returns and BAS returns, and prior to lodgement, we will ask a Director and partners and the individual Directors and Partners (for their personal returns**)** to sign a declaration signifying their agreement that the accounts and returns are based on the information supplied to us, are correct and that you hold the necessary supporting documentation and tax invoices to support your claims.

Examples of these declarations are attached to this letter. Note the wording on these may change from time to time to comply with our requirements. We will discuss with you the contents of these declarations before we ask you to sign them.

The financial statements, tax returns and any other documents which we are specifically engaged to prepare, together with any original documents given to us by you, shall remain as your property. Any other documents brought into existence by us including general journals, working papers, the general ledger, draft financial statements and tax returns, will remain our property at all times.

If our services are terminated, we shall be entitled to retain all documents owned by you until payment in full of all outstanding fees

USE OF OTHER CONSULTANTS

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We advise that where we feel we do not have the necessary expertise to perform your work in a professional manner we will engage the services of other consultants to ensure you receive the highest degree of service possible.

PROFESSIONAL FEES AND PAYMENT

Our fees, which will be billed on completion of the work (and as work progresses for longer assignments), are based on the fixed fee proposed in our proposal and accepted by you for the abovementioned engagement. All our invoices will be payable within 7 days.

This letter relates only to the abovementioned engagement. Work that is performed or disbursements that are incurred which are outside the scope of our engagement will be subject to an additional fees which may be calculated based on the time required by the individuals assigned to the engagement calculated at the applicable hourly rate taking into account the degree of skill and expertise required to complete the task.

It should be noted at the outset that as a general proposition we rely upon our clients to provide us with accurate and timely information to enable us to properly perform our engagement obligations. Consequently, any rectifying work performed by us on the basis of incorrect, incomplete or late information will be work which is additional to the scope of our engagement.

PROFESSIONAL FEES AND PAYMENT Our professional fees for the **FY 2025-26** are determined by the activity level of the business entities as follows:

- **Standard Engagement (No Activity):** A fixed fee of **$2,400 + GST** (excl. software costs) for the SMSF, Company, and Individual returns.

- **Active Engagement (With Activity):** A fixed fee of **$4,800 + GST** (excl. software costs) should the entities conduct business transactions or require ongoing bookkeeping and activity statement preparation.

Invoices will be issued monthly as the work progresses. Any rectifying work or additional services outside this scope will be subject to additional charges.

LIMITATION OF LIABILITY

Under the Professional Standards Act (NSW) 1994 and the Scheme approved under that Act, the liability of the firm, its partners, associates and employees or contractors is limited to a maximum sum of $500,000, where the fee for the engagement is up to $50,000, or ten times the fee (subject to a $50 million ceiling) for fees in excess of $50,000.

A copy of the Act and the Scheme are both available on the website of CPA Australia.

INDEMNITY

In consideration of our agreement to supply you with the services described in this engagement letter, you agree to indemnify this firm, its partners, associates, employees, contractors and any other person who may be sought to be made liable in excess of the limit of liability described above in respect of any activity arising from or connected with this engagement letter in respect of any claim of whatever kind, including negligence, that may be made by any person and any costs and expenses that may be incurred by us.

QUALITY REVIEW

As a Member of the Certified Practising Accountants (CPA) Australia, we are subject to periodic quality assurance reviews. Unless otherwise advised by yourself, by engaging our firm, you are consenting to your files being part of such a quality review. Your confidentiality will be retained throughout this process.

OUTSOURCED SERVICES

<outline the geographic location of the outsourced service provider and the nature and extent to which outsourced services are used in the delivery of the professional service to the client>

We may involve third party contractors or outsourced service providers in providing various aspects of your accounting and taxation work. These services may include:

- Accounting file preparation and/ or Data entry into our accounting systems
- Processing payroll and superannuation reports
- Preparing tax returns and activity statements
- Preparing company secretarial documents
- Business Services and Practice Management work such as ASIC compliance office administration work

Acceptance of our services in conjunction with this engagement document indicates your acceptance of the use of outsourced services as described. Where the outsourced service requires the disclosure of personal information to an overseas recipient a consequence of your consent is that CHESS Accountants will be required to take reasonable steps to ensure that the Australian Privacy Principles are complied with by the overseas recipients of the Personal Information.

STORAGE OF PERSONAL INFORMATION

For Data Storage, we use a cloud-based storage system called Onedrive™. For accounts, taxation and payroll processing, we may use cloud-based software called Xero and Myaccountant. As our firm uses cloud-based solutions and document storage systems, accounting and other business related and personal data maybe stored overseas in jurisdictions with similar privacy laws to Australia. By signing this engagement letter you acknowledge and agree that your personal information may be stored overseas.

CONFIRMATION OF ENGAGEMENT

Obviously, there will be many issues to consider in this engagement and we ask that you consider all aspects of this letter to ensure that you are satisfied with the scope of the engagement. Please contact us if you do not understand, or wish to discuss, any of the above terms. If the above terms of our engagement are acceptable, please sign and return the attachment of this letter to our office.

If you do not forward your signed copy of the engagement letter nor contact us with changes to the engagement yet continue to provide us with information and instructions regarding your financial affairs, the terms and information contained in this letter will bind us both.

We thank you for choosing Chess Accountants as your accountants and look forward to a long and fruitful relationship with your organization.

We look forward to hearing from you whenever you require business advice and assistance.

Yours faithfully,
For, The Trustee for Shah Family Trust T/A Chess Accountants

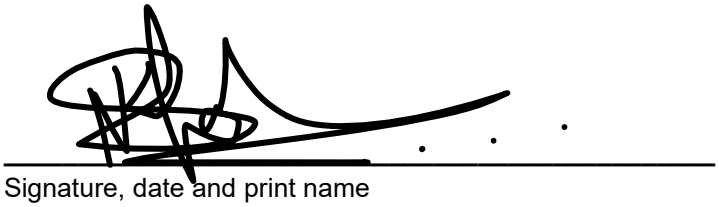
Sulay

Sulay Shah CPA
Director and Principal

AGREEMENT

I, Nirav Shah, Director of the company have read and understand the Terms & Conditions set out in the engagement letter dated 16 Feb. 26, appointing Chess Accountants as our accountants, business advisers and tax agent. I agree to the Terms & Conditions contained in that letter.

I also acknowledge that the reliability, accuracy and completeness of the accounting records are my responsibility and that I have a duty to disclose to you all material and relevant information.



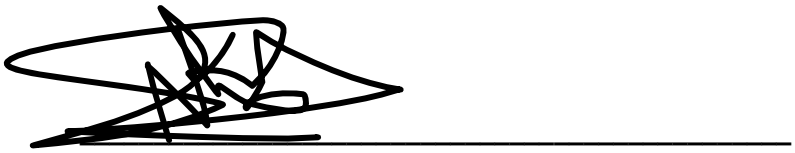
Signature, date and print name

Name

Nirav Shah

GUARANTEE OF PAYMENT

I, Nirav Shah, being a director, whose signature appears below confirm that I have appointed Chess Accountants to provide accounting and tax compliance services to the business. Should the company be unable, at any time, to pay any accounts rendered for these services, I agree that I will immediately become personally liable for the due and punctual payment to Chess Accountants of the professional fees and out-of-pocket expenses payable by the company from time to time to Chess Accountants.



Signature, date and print name

Name

Nirav Shah